

17-2d The Prisoners' Dilemma and the Welfare of Society

The prisoners' dilemma describes many of life's situations, and it shows that cooperation can be difficult to maintain, even when cooperation would make both players in the game better off. Clearly, this lack of cooperation is a problem for those involved in these situations. But is lack of cooperation a problem from the standpoint of society as a whole? The answer depends on the circumstances.

In some cases, the noncooperative equilibrium is bad for society as well as the players. In the arms-race game in [Figure 3](#), both the United States and the Soviet Union end up at risk. In the common-resources game in [Figure 4](#), the extra wells dug by Chevron and ExxonMobil are pure waste. In both cases, society would be better off if the two players could reach the cooperative outcome.

By contrast, in the case of oligopolists trying to maintain monopoly profits, lack of cooperation is desirable from the standpoint of society as a whole. The monopoly outcome is good for the oligopolists but bad for the consumers of the product. As we first saw in [Chapter 7](#), the competitive outcome is best for society because it maximizes total surplus. When oligopolists fail to cooperate, the quantity they produce is closer to this optimal level. Put differently, the invisible hand guides markets to allocate resources efficiently only when markets are competitive, and markets are competitive only when firms in the market fail to cooperate with one another.

Similarly, consider the case of the police questioning two suspects. Lack of cooperation between the suspects is desirable, for it allows the police to convict more criminals. The prisoners' dilemma is a dilemma for the prisoners, but it can be a boon to everyone else.